AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS IX EXAMINATION

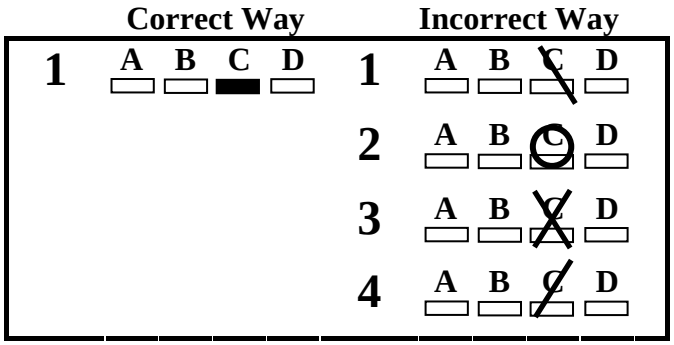
MAY 2011

Business Studies Paper I

Time allowed: 35 minutes Marks 25

INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 25 only.
4. In each question there are four choices A, B, C, D. Choose ONE. On the answer grid black out the box for your choice with a pencil as shown below.



5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new box.
6. DO NOT write anything in the answer grid. The computer only records what is in the boxes.

1. Managers, customers, workers, community and government are collectively known as

   A. entrepreneurs.
   B. organization.
   C. stake holders.
   D. human resources.

2. In economic condition of recession the major focus of a business is to

   A. obtain higher market share.
   B. obtain cost advantage.
   C. hire good professionals.
   D. survive in the economy.

3. The sector of an industry which provides services to consumers and other sectors of industry is known as the

   A. tertiary sector.
   B. banking sector.
   C. primary sector.
   D. agriculture sector.

4. The amount which is deducted from the total cost of the sales revenue is known as

   A. profit.
   B. retained earnings.
   C. surplus.
   D. deficit.

5. All of the following are the common objectives of different businesses EXCEPT

   A. providing community services.
   B. increasing added value.
   C. making profit.
   D. saving tax.

6. The form of business organization managed and owned by two to twenty persons is known as a

   A. corporation.
   B. partnership.
   C. public limited company.
   D. sole proprietorship.

7. A graphical representation showing the different levels of management is known as a

   A. flow chart.
   B. organizational chart.
   C. bar chart.
   D. histogram.

8. Which of the following depicts the style of leadership where the orders of one person are obeyed?

   A. Democratic
   B. Cooperative
   C. Autocratic
   D. Laissez faire

9. The process of bringing people of different organisations together to perform effectively, is known as

   A. control.
   B. co-ordination.
   C. organisation.
   D. planning.

10. Transmitting ideas in a way that the receiver of the message understand the desired objective is called

   A. effective communication.
   B. external motivation.
   C. effective information.
   D. operation.

11. Which of the following is irrelevant in determining the cost of production directly?

A. Material
B. Labour
C. Low morale
D. Rent

12. Which of the following can NOT explain internal economies of scale?

A. Managerial economies
B. Purchasing economies
C. Technical economies
D. Poor communication

13. An economic situation where businesses are at a loss and workers may lose their jobs is called

A. a recession.
B. a boom.
C. growth.
D. a slump.

14. Pollution caused by factories and chemical plants is

A. an external influence.
B. an internal influence.
C. a technological influence.
D. a competitive influence.

15. Which of the following should NOT be a part of the government regulation for businesses?

A. Tax exemption
B. Abiding by industrial norms
C. Wage protection
D. Encouraging monopoly

16. The cost which fluctuates with the number of items sold or produced is called

A. fixed cost.
B. sunk cost.
C. variable cost.
D. opportunity cost.

17. A business transaction in which the ownership of values is exchanged and payment is postponed to any future date is a

A. compound transaction.
B. cash transaction.
C. credit transaction.
D. business transaction.

18. An elementary phase of accounting in which mere preservation of business events is carried out is known as

A. accounting.
B. classification.
C. book keeping.
D. transaction.

19. Debts owed by customers are

A. a liability for the shopkeeper.
B. an equity for the shopkeeper.
C. an asset for the shopkeeper.
D. profit for the shopkeeper.

20. An accounting concept which implies that the business will continue to run for the foreseeable future is a

A. dual aspect ‘concept’.
B. money measurement concept.
C. time-interval concept.
D. going concern concept.

21. Which of the following would be the most appropriate pricing strategy for a cell phone having features similar to other cell phones in the market?

A. Penetrating price
B. Price skimming
C. Competitive pricing
D. Cost-plus pricing

22. Which of the following is the correct mode of transportation if Pakistani edibles are to be exported to Afghanistan?

A. Road ways
B. Railways
C. Seaways
D. Pipeline

23. Makro, Metro, Carrefour and ARY Cash and Carry (big departmental store or cash and carry) are examples of

A. sales agent.
B. wholesaler.
C. retailer.
D. consumer.

24. An office administrator was encouraged by the management to join a course on 'effective time management' to improve his managerial skills. Such an initiative taken by the firm is classified as

A. on the job training.
B. vocational training.
C. retreat.
D. orientation.

25. Which of the following is the correct procedure of recruiting an employee in a firm?

A	B	C	D
Advertisement	Selection	Interview	Advertisement
Short listing	Interview	Short listing	Selection
Interview	Advertisement	Selection	Interview
Selection	Short listing	Advertisement	Short listing

END OF PAPER